

Bringing the consumer voice into the room...

<http://play.buto.tv/v5Tt9>



Consumer Vulnerability

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The Growing Scale of Vulnerability



Old age

Over 1.4m people in the UK are aged 85 or over. The number of people over 85 in the UK is predicted to double in the next 20 years and nearly treble in the next 30 years (Age UK, 2013)

Living with dementia



There are 800,000 people in the UK living with varying degrees of dementia, and this is expected to double over the next 40 years

The Growing Scale of Vulnerability

Cancer

Every two minutes someone in the UK is diagnosed with cancer (Cancer Research UK 2014)



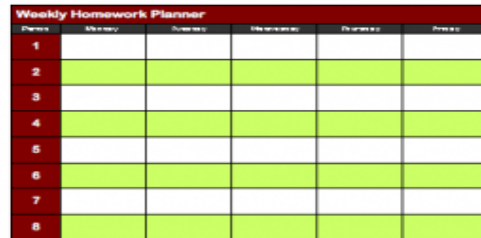
By 2020 half of the UK population can expect to be diagnosed with cancer at some point in their lives (Macmillan 2014)



Listening to those who work with and understand vulnerable consumers

			
			
			
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Why is this on the FCA agenda?



A grid titled 'Weekly Homework Planner' with 8 rows and 6 columns. The columns are labeled 'Dates', 'Monday', 'Tuesday', 'Wednesday', 'Thursday', and 'Friday'. The first column contains numbers 1 through 8. The grid is used for planning homework over a week.

Dates	Monday	Tuesday	Wednesday	Thursday	Friday
1					
2					
3					
4					
5					
6					
7					
8					

It aligns to several of our **statutory objectives**:

- In considering the appropriate degree of consumer protection, the FCA must have regard to
 - *"the differing degrees of experience and expertise that different consumers may have"*
- In considering its **competition objective**, the FCA may have regard to
 - *"the ease with which consumers who may wish to use those services, including consumers in areas affected by social or economic deprivation, can access them"*

It also aligns to several existing elements of our supervision, for example:

- **FCA Principles 6 & 7**
 - *"a firm must pay due regard to the interests of its customers and treat them fairly".*
 - *"a firm must pay due regard to the information needs of its clients, and communicate information to them in a way which is clear, fair and not misleading".*

What do we mean by consumer vulnerability?

A definition is a starting point:

"A vulnerable consumer is someone who, due to their personal circumstances, is especially susceptible to detriment, particularly when a firm is not acting with appropriate levels of care."

Personal characteristics
Physical impairments
Age
Mental health problems e.g. depression/anxiety, bi-polar.
Low basic skills
Low financial capability

Personal circumstances
Low resources e.g. income, time
Memory problems, caused by, for example, age, dementia.
Life events e.g. bereavement, illness
Poor financial situation
Niche requirements owing to, for example, health conditions, legal status, etc.

Market Research findings on vulnerability

"I never thought we would end up where we've ended up. If you'd looked at us 5 years ago it would have been a very different story . . . It's been a something of an epic journey, but we keep going, you know, you have no choice in that do you? There's been some low moments let me tell you that . . . Am I vulnerable? Was I vulnerable? No I wouldn't say that I was." **Male, 40s, Job loss, Carer & Long-term illness**



"They go, 'we've got a very high demand for calls at the moment; it will be at least 20 minutes'. And then I just think to myself, I'm not sure I have that much life left to live and give up." **Male, 80s, Older Person**

Occasional Paper No. 8: Consumer Vulnerability

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Outcome driven approach

More concerned with what “good” looks like to consumers than exact definitions of vulnerability.



A best practice, more consistent, approach should be developed for FS market



Outcome:

All financial services firms* create and *put into practice* appropriate strategies to address the needs of consumers in vulnerable circumstances.



...to make markets work well for consumers so they can get a fair deal & products & services which meet their needs *over their lifetime*

*proportionate to their size and customer type

What does 'good' look like to consumers?



BBA taskforce

- Post FCA Occasional Paper on vulnerability, there has been a good debate around consumer vulnerability and what best practice looks like.
- Regulators such as Ofwat have recently published a report into vulnerability and the issue it presents to water companies.
- The BBA has published a set of principles and recommendations for members from the Vulnerability Taskforce that it set up in September 2015.
- Positive to see the debate developing, now the challenge is for tangible progress and improvement.



Maintaining progress

